

THIRD QUARTER 2020 FINANCIAL RESULTS

November 5, 2020



FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to: business plans or prospects; future operating or financial performance, future guidance, future operating models; expectations regarding products, product approvals or products under development; expected timing of product launches; the impact of the coronavirus (COVID-19) pandemic and any recovery therefrom on our business, suppliers, customers and employees; expectations regarding the performance of acquired companies and our ability to integrate new businesses; expectations regarding the financial impact of acquisitions; future use of cash and dividend payments; tax rates and tax regimes and any changes thereto; and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2019, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. Such risks and uncertainties may be amplified by the coronavirus (COVID-19) pandemic and its potential impact on the global economy and our business. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, adjusted operating expenses, adjusted gross margin, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by U.S. generally accepted accounting principles (GAAP), such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

KRISTIN PECK

CHIEF EXECUTIVE OFFICER

KEY TAKEAWAYS

STRONG Q3 PERFORMANCE IN A CHALLENGING ENVIRONMENT

- Generated 15% operational¹ revenue growth and 20% operational¹ increase in adjusted net income² despite difficult market conditions as a result of COVID-19
- Companion animal product sales led the way with 20% operational revenue growth, driven by our parasiticides, vaccines, and key dermatology products
- The parasiticide portfolio gained significant market share in the quarter, which includes the continued adoption of Simparica Trio, with estimated full year incremental revenue of \$125 million to \$150 million
- Strong quarter for livestock, but a sustained recovery not expected until the middle of 2021

RAISES AND NARROWS GUIDANCE RANGE FOR 2020

- Increased range of full year 2020 estimates for revenue and adjusted net income
 - Revenue range raised and narrowed to \$6.550B and \$6.625B, with operational¹ growth of 7% to 8%
 - Adjusted Net Income range raised and narrowed to \$1.790B and \$1.825B, with operational¹ growth of 6% to 8%
- Updated guidance reflects better than expected Q3 results, and confidence that the diversity and durability of our portfolio, along with innovation, will continue to drive growth in a difficult market

4 ¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income (a non-GAAP financial measure) is defined as reported GAAP net income, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Third Quarter		
	2020*	2019*	Change
Revenue	\$1,786	\$1,584	13%
Reported Net Income	479	433	11%
Reported Diluted Earnings Per Share	\$1.00	\$0.90	11%
Adjusted Net Income ¹	524	455	15%
Adjusted Diluted Earnings Per Share ^{1,2}	\$1.10	\$0.94	17%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Adjusted diluted earnings per share increase of 17% includes 4% unfavorable foreign exchange impact, and operational growth of 21%.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Third Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Revenue	\$1,786	\$1,584	13%	(2)%	15%
Adjusted Cost of Sales ²	543	473	15%	1%	14%
<i>as a percent of revenue³</i>	30.4%	29.9%	NA	NA	NA
Adjusted SG&A Expenses ²	407	373	9%	(2)%	11%
Adjusted R&D Expenses ²	112	112	—%	(1)%	1%
Adjusted Operating Expenses ⁴	525	489	7%	(2)%	9%
Effective Tax Rate on Adjusted Income ²	20.0%	20.5%	NA	NA	NA
Adjusted Net Income ²	524	455	15%	(5)%	20%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income and its components (non-GAAP financial measures) are defined as reported GAAP net income and its components, excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

³Adjusted gross margin (a non-GAAP financial measure) was 69.6% in the third quarter of 2020, and 70.1% in the third quarter of 2019.

⁴Adjusted operating expenses (a non-GAAP financial measure) of \$525 in the third quarter of 2020, and \$489 million in the third quarter of 2019 include adjusted amortization of intangible assets of \$6 million in Q3 2020 and \$4 million in Q3 2019.

US SEGMENT PERFORMANCE

	Third Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Revenue	\$996	\$844	18%	—%	18%
Companion Animal	664	550	21%	—%	21%
Livestock	332	294	13%	—%	13%
Cost of Sales	194	163	19%	—%	19%
Gross Profit	802	681	18%	—%	18%
<i>Gross Margin</i>	<i>80.5%</i>	<i>80.7%</i>	<i>NA</i>	<i>NA</i>	<i>NA</i>
Operating Expenses	157	130	21%	—%	21%
Other (Income)/Deductions	—	—	**	**	**
Earnings ²	645	551	17%	—%	17%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

8 ²Defined as income before provision for taxes on income.



INTERNATIONAL SEGMENT PERFORMANCE

	Third Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Revenue	\$767	\$721	6%	(5)%	11%
Companion Animal	331	284	17%	(3)%	20%
Livestock	436	437	—%	(6)%	6%
Cost of Sales	245	234	5%	(3)%	8%
Gross Profit	522	487	7%	(6)%	13%
<i>Gross Margin</i>	68.1%	67.5%	NA	NA	NA
Operating Expenses	122	134	(9)%	(3)%	(6)%
Other (Income)/Deductions	—	—	**	**	**
Earnings ²	400	353	13%	(7)%	20%

* Millions of dollars, NA – Not applicable, **Calculation not meaningful

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Defined as income before provision for taxes on income.

INTERNATIONAL MARKET REVENUE

	Third Quarter				
	2020*	2019*	Change	Foreign Exchange	Operational ¹
Total International	766.9	720.7	6%	(5)%	11%
Australia	59.7	52.7	13%	2%	11%
Brazil	62.2	71.8	(13)%	(31)%	18%
Canada	49.7	46.7	6%	(2)%	8%
Chile	23.4	22.7	3%	(5)%	8%
China	65.6	40.2	63%	(1)%	64%
France	29.7	23.6	26%	2%	24%
Germany	38.5	35.1	10%	3%	7%
Italy	27.1	26.2	3%	1%	2%
Japan	39.0	39.2	(1)%	—%	(1)%
Mexico	25.9	29.2	(11)%	(13)%	2%
Spain	30.7	29.1	5%	2%	3%
United Kingdom	44.8	46.4	(3)%	4%	(7)%
Other Developed Markets	105.3	97.5	8%	1%	7%
Other Emerging Markets	165.3	160.3	3%	(8)%	11%

* Millions of dollars

10 ¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	August Guidance	November Guidance
Revenue <i>Operational growth</i> ¹	\$6,300 to \$6,475 3% to 6%	\$6,550 to \$6,625 7% to 8%
Adjusted cost of sales as a percentage of revenue ²	30% to 31%	Approximately 30%
Adjusted SG&A expenses ²	\$1,530 to \$1,590	\$1,615 to \$1,645
Adjusted R&D expenses ²	\$440 to \$465	\$455 to \$465
Adjusted interest expense and other (income)/deductions-net ²	Approximately \$250	Approximately \$250
Effective tax rate on adjusted income ²	20% to 21%	19% to 20%
Adjusted diluted EPS ²	\$3.52 to \$3.68	\$3.76 to \$3.81
Adjusted net income ² <i>Operational growth</i> ^{1,3}	\$1,685 to \$1,765 1% to 5%	\$1,790 to \$1,825 6% to 8%
Certain significant items and acquisition-related costs ⁴	\$25 to \$35	\$25 to \$35
Reported diluted EPS	\$3.14 to \$3.32	\$3.38 to \$3.45

The guidance reflects the current view of the estimated full year impact of the COVID-19 outbreak, recessionary conditions in the global economy and foreign exchange currency as of late October 2020.

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

²Adjusted net income and its components and adjusted diluted EPS are defined as reported GAAP net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted interest expense and other (income)/deductions-net are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Effective tax rate on adjusted income (a non-GAAP financial measure) equals the adjusted provision for taxes on income (a non-GAAP financial measure) divided by adjusted income before provision for taxes on income (a non-GAAP financial measure). Adjusted net income and its components, adjusted diluted EPS, and the effective tax rate on adjusted net income, are presented solely to permit investors to more fully understand how management assesses performance. Adjusted net income and its components and adjusted diluted EPS are not, and should not be viewed as, substitutes for U.S. GAAP net income and its components and diluted EPS.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impacts of these items are uncertain, depend on various factors, and could have a material impact on GAAP reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to acquisitions and other charges.

Q&A

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